

# Employing in Estonia

What You Need to Know · Employment Hero HeroForce EOR · July 2026

## What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Employment Contracts Act
- **Monthly payroll** — salary payments in EUR, itemised payslips via TSD filing
- **Tax withholding** — flat 22% income tax withheld and remitted to the Tax and Customs Board
- **Social tax & unemployment insurance** — the full statutory contribution stack
- **Leave and termination management** — notice periods and entitlements guidance

## Employment Conditions

### Contracts & Probation

Estonia's minimum wage increases mid-year in 2026 — from €886/month (Jan-Mar) to €946/month (from 1 April) — a two-step change employers must apply on the correct date.

| Item                         | Detail                                                             | Legal Basis                           |
|------------------------------|--------------------------------------------------------------------|---------------------------------------|
| Probation period             | Maximum 4 months                                                   | Employment Contracts Act              |
| Mid-year minimum wage change | €886/month (Jan-Mar 2026) rising to €946/month (from 1 April 2026) | Government of the Republic regulation |
| Standard hours               | 8 hrs/day, 40 hrs/week                                             | Employment Contracts Act              |

## Minimum Wage & Statutory On-Costs (2026)

| Measure                           | Rate                    | Notes                                                                                                                                   |
|-----------------------------------|-------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|
| Minimum wage (from 1 April 2026)  | €946/month (€5.67/hour) | Up from €886/month in Q1 2026                                                                                                           |
| Social tax (employer)             | 33% of gross salary     | 20 percentage points fund state pension, 13 fund health insurance (Haigekassa); paid entirely by the employer, not deducted from salary |
| Minimum social tax base           | €886/month (2026)       | Employer must pay at least €292.38/month in social tax per employee, even if actual salary is lower or zero for part of the month       |
| Unemployment insurance (employer) | 0.8% of gross salary    | Employee adds 1.6%                                                                                                                      |

## Leave Entitlements

| Leave Type     | Entitlement                                                                                              | Who Pays                            | Key Condition                                             |
|----------------|----------------------------------------------------------------------------------------------------------|-------------------------------------|-----------------------------------------------------------|
| Annual Leave   | 28 calendar days/year                                                                                    | Employer                            | Employment Contracts Act minimum                          |
| Sick Leave     | Employer pays days 4–8, Haigekassa (health insurance) from day 9                                         | Employer (days 4–8) + Haigekassa    | First 3 days are unpaid                                   |
| Parental Leave | Up to 3 years combined maternity/paternity/parental leave, extensively paid via Haigekassa/state benefit | Haigekassa / state parental benefit | One of the most generous parental leave systems in the EU |

### ★ HERO TIP

Estonia's 33% social tax is paid entirely by the employer on top of gross salary — it is never deducted from the employee's pay, unlike most European social security systems that split the cost. Combined with a genuinely simple flat 22% income tax and a universal €700/month tax-free allowance (no longer phased out at higher incomes as of 2026), Estonia has one of the most transparent payroll structures in Europe, even though the headline employer rate looks high.

## Payroll, Tax & Contributions

### Total Cost Example — USD \$3,000 Gross Monthly Salary

| Cost Item                               | Amount (USD)       | % of Gross     |
|-----------------------------------------|--------------------|----------------|
| Gross salary                            | \$3,000.00         | 100%           |
| Social tax, employer (33%)              | \$990.00           | 33.00%         |
| Unemployment insurance, employer (0.8%) | \$24.00            | 0.80%          |
| EOR service fee (HeroForce, Tier 3)     | \$750.00           | 25.00%         |
| <b>Estimated total monthly cost</b>     | <b>~\$4,764.00</b> | <b>~158.8%</b> |

HeroForce EOR service fee shown at USD \$750 per employee per month plus a one-time USD \$500 setup fee (Tier 3 pricing). Total Estonian employer on-cost is approximately 33.8% above gross salary — nearly all of it via the single social tax line. Employee deductions (withheld separately) include unemployment insurance (1.6%), optional Pillar II pension (2%/4%/6%) and the flat 22% income tax, with a universal €700/month tax-free allowance.

## Income Tax (2026)

Estonia applies a flat 22% personal income tax rate to all employment income, with a universal €700/month (€8,400/year) tax-free allowance for all individuals regardless of income — the previous income-based phase-out of this allowance was abolished for 2026.

## Termination & Separation

Notice periods scale with length of service under the Employment Contracts Act, from 15 days (under 1 year) up to 90 days (10+ years) for employer-initiated redundancy. Severance compensation is also tenure-based, typically 1 month's salary for 5–10 years' service, rising for longer tenure, funded partly by the Estonian Unemployment Insurance Fund.

## Public Holidays 2026

| Date           | Holiday                                            | Type     |
|----------------|----------------------------------------------------|----------|
| 1 January      | New Year's Day                                     | National |
| 24 February    | Independence Day                                   | National |
| 3 April        | Good Friday                                        | National |
| 5 April        | Easter Sunday                                      | National |
| 1 May          | Spring Day                                         | National |
| 24 May         | Whit Sunday                                        | National |
| 23–24 June     | Victory Day and Midsummer Day                      | National |
| 20 August      | Day of Restoration of Independence                 | National |
| 24–26 December | Christmas Eve, Christmas Day, 2nd Day of Christmas | National |

### Ready to hire in Estonia?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Estonia employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$750** per employee per month plus a one-time **USD \$500** setup fee (Tier 3).